



NORTHGATE

Assumptions

Investment Parameters

Construction Start Date	06 Jan 2020
Construction Period	24 months
Land Value and Start Up Costs	18,000,000 Equity financed
Construction Costs	0.70 42,000,000 Debt financed
Costs over-run	10.0%

Quarter	1	2	3	4	5
% of development Costs spent	17%	17%	17%	17%	17%
Quarter	6	7	8	9	10
% of development Costs spent	17%	0%	0%	0%	0%

Financing assumptions

Yield on Development Cost	12.4%
Yield on Completion	11.0%
Investment Value at Completion	78,258,190 Used for LTV calculation
Development Finance Interest Rate	8.0% p.a.
Take-out Debt	62.5% LTV
Take-out Debt Interest Rate	5.75% p.a.
Take-out Debt Amortisation	9.00% p.a.

Divestment Parameters

Exit Year	7
Exit Cap Rate	7.5%
Sale Costs	2,000,000

Income Parameters

	Area sqm	GRI/sqm	GRI	% used in CF	Rental Growth p.a.
Anchor Tenant	3,545	216	765,720	100%	1.0%
Mini Anchors	3,545	384	1,361,280	100%	1.0%
In line tenants	4,726	384	1,814,784	96%	1.5%
Supermarket	8,984	168	1,509,312	100%	2.0%
Leisure / F&B	5,288	300	1,586,400	95%	1.5%
Big-box 1	2,518	192	483,456	100%	1.0%
Big-box 2	2,850	192	547,200	100%	1.0%
Big-box 3	4,781	192	917,952	100%	1.0%
DIY	7,640	168	1,283,520	100%	1.5%
Common areas	6,794	-	-	100%	1.0%
Total	50,671		10,269,624	99%	1.4%

Costs Parameters

	<i>Vacancy / Year</i>	<i>1</i>	<i>2</i>	<i>3</i>	<i>4</i>	<i>5</i>
Anchor Tenant		0.0%	0.0%	0.0%	0.0%	0.0%
Mini Anchors		5.0%	3.0%	2.0%	2.0%	2.0%
In line tenants		10.0%	6.0%	3.0%	3.0%	3.0%
Supermarket		0.0%	0.0%	0.0%	0.0%	0.0%
Leisure / F&B		15.0%	8.0%	5.0%	3.0%	3.0%
Big-box 1		0.0%	0.0%	0.0%	0.0%	0.0%
Big-box 2		0.0%	0.0%	0.0%	0.0%	0.0%
Big-box 3		0.0%	0.0%	0.0%	0.0%	0.0%
DIY		10.0%	6.0%	3.0%	3.0%	3.0%
Ancillary Costs	2,464,710	24.0%	of Gross Rental Income			
Non Recoverable	492,942	20.0%	of Ancillary Costs			
Capex ongoing	123,235	1.2%	of Gross Rental Income			
Collection Loss	123,235	1.2%	of Gross Rental Income			
Asset Mgt Fee	154,044	1.5%	of Gross Rental Income			
					2.43	per gross sqm

Tax

Depreciation	1.5% p.a of construction Costs
Income Tax	19.0%
Property tax	0.40% of Asset Value
Delay in tax payment	1 year(s)
CGT	0.0%

Net Operating Income (No)	8,608,401	Gross to Net	83.8%
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